GMS WEEKLY

Your Source for Recycling News

January 17th, 2025
Week 3
Volume 268, Issue 1169

Highlights:

- **Worrying reversals.**
- **Depreciation pie.**
- **Supply drive.**
- **Bangla decline.**
- **Looking bleak.**
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QUOTE of the WEEK

"Give me a place to stand, and a lever long enough, and I will move the world."

– Archimedes

-- MARKET COMMENTARY --

TUMBLING DICE!

As President Trump's inauguration and looming tariffs lie days ahead, outgoing President Biden's unrelenting efforts towards attaining a Gaza ceasefire deal finally saw fruition this week with the release of the first set of Israeli hostages marking their returns home. This ceasefire could also lower attacks on commercial vessels traversing the Red Sea shipping lanes and resume the regular flow of sea traffic in the area, helping ease global inflation and along with 2024's economic hangover that is still rummaging through the ship recycling industry. As oil markets strengthen even more this week, closing at nearly USD 77.80/barrel, stresses resulting from the recent sanctions against Russia and China's shipping companies / dark fleets slowly starts show effect. Likely to make matters worse is another intended interest rate cut by the U.S. Feds as domestic inflation continues to cool and the U.S. Dollar continues to hammer its way through ship recycling nation currencies, as nearly all locations reported dips this week, with the Bangladeshi Taka taking the largest slice of the week's depreciation pie. Even the Baltic Shipping Index has been reporting an overall downward trend in nearly all sectors, which has caused dry bulk markets to close another week with a near 6% decline. As forecasted in weeks prior and based on the trajectory of charter rates through the tail end of 2024 and even thus far in 2025, ship recycling markets should continue to enjoy a healthier Q1 of vessel introductions, as respective port positions enjoy fresh arrivals in both India and Bangladesh week after week, even highlighting the 48K LDT of recycling tonnage at both anchorages.

Yet, along with the jilted state of global economies, ship recycling destinations suffered worrying reversals in vessel prices of late, primarily on the back of weaker currencies, depressed sentiments, and overall declining steel plate prices which, for the first time in a long time, firmed across the board except in Turkey and Bangladesh (who still remains atop the market rankings). As the supply of vessels starts to increase after 2024 was awarded the lowest year for recycling volumes in over a decade, the exit of overaged vessels from operating fleets has been consistently delayed due to the incredible performance of freight markets through the first 3 Quarters of 2024. Given that most of these units are likely starting to come off charter with the turn of the year, a raft of 90s built drybulk (mostly Panamax) vessels were suddenly up for sale at the same time, primarily from Chinese ship owners looking to tie up pre–Chinese New Year holiday loose ends, and this increase in supply has set a damaging pressure on the sub-continent markets, as demand has remained forcibly in check via the collapsing state of fundamentals. As such, vessel offers are starting to get shaky once again. Bangladesh has been the hardest hit this year, with up to USD 30/LDT wiped off vessel prices over a couple of weeks. And those recyclers who were keen to negotiate and fill dormant plots are now pleasantly booked with cheaper tonnage for the near future. Whilst the supply of vessels has largely been vintage bulkers and even a few LNGs were seen, tankers and containers remain at large and are likely to come at scattered stages across the year. The question of what to do with the raft of elderly / eventually dissolute tankers on Biden's recent sanctions lists when they eventually show up for sale, remain to be seen. For now, the overall ship recycling outlook looks uncertain once again, especially as ship owners consistently look to achieve the next highest priced sale and ever exuberant cash buyers remain eager to please, driving prices up rather than enjoying the present.

GMS demo rankings / pricing for week 3 of 2025 are on Page 5.

BANGLADESH

BAGGING BULK!

VAT reversals.

Economic miseries in Bangladesh continue as the nation suffers through ongoing financial fractures that are taking longer than usual to heal. To start with, for Chattogram's ship recycling sector, local steel plate prices have managed to cement themselves at USD 529.41/Ton for several weeks now, despite competing neighbors (including China's) steel plate prices reported improvements this week. However, it is the Bangladeshi Taka that remains the true star of domestic misery, not only for the Bangladeshi government, but also for Chattogram Choppers who remain battling higher lending rates and a domestic currency that continues to collapse against the U.S. Dollar, recording another whopping 1.22% decline through the course of the week, ending it past BDT 121.65.

Panamax influx.

Making matters worse was the announcement by the National Board of Revenue on a reported VAT increase in the middle of the fiscal year that saw strong protests led against the government, which then led them to revise VAT rates for certain sectors, in the latest show of indecisiveness an the interim administration that continues to haphazardly manage the nation's economic needs. Indeed, domestic unrest seems to be on the rise once again after the previous violent insurgency saw former PM Sheikh Hasina flee the nation. Now, the interim government is failing to achieve anything of substance in order to stimulate the economy via pending infrastructure projects that remain on hold due to the lack of dithered domestic reserves – at least until the upcoming FY 2025 – 2026 budget is announced in the second quarter of this year. In the interim, this likely won't afford the necessary funding to the remaining ship recyclers who are looking to upgrade their yards and satisfy the incoming HKC regulations, which go into effect around the same time.

Rates collapse.

Meanwhile, as the supply of tonnage – particularly Panamax bulkers and LNGs - have increased since the start of the year, two sales were confirmed to Bangladeshi recyclers this week and at levels even lower than those from last, as the new realities on pricing now start to show. This doesn't even include at least 4 - 5 other previous private deals (including the private sale of a VLCC). As such, this week's fixtures started off with Chinese Sellers fixing OCEAN PEACE (10,847 LDT) at USD 455/LT LDT, before the next lower priced sale of the RONG YUAN (9,165 LDT) took place, only managing to fetch USD 450/LT LDT, as increasing regional sellers look to offload units before Chinese New Year holidays ensue.

Continually controlled.

Consequently, local port position avoided an empty port report for a second time with a healthy dose of arrival in excess of 48K LDT, most of them promptly delivered to their respective recyclers without much fanfare and despite a falling market. As the nation desperately awaits financial aid, outgoing IMF interest repayments stand to take a massive bite out of the proceeds, in effect, keeping the re-distribution of funds at continually controlled rates, likely maintaining the status quo into February.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
OCEAN PEACE	Bulker	10,847	USD 455/LT LDT (with 200 Ts bunkers)
RONG YUAN	Bulker	9,165	USD 450/LT LDT

INDIA

SHADOWBOXING!

Even though Alang buyers have been the keenest of the sub-continent ship recycling bunch at the bidding tables of late, they have been far from 'at it' as Alang recyclers have lost out on the bulk of the market tonnage that has been coming in from the Far East, to a geographically better-suited Chattogram, whilst vessel offers from both locations have been retreating on the back of shuttered fundamentals. This has seen Alang sentiments taking a beating this week, despite positive news on tariffs set to finally tax cheaper imported Chinese steel and it is certainly concerning to see such a decline amidst a growing number of vessels being proposed for a recycling sale.

Not 'at it'.

Confidence in fundamentals seems to be at an all-time low amongst Alang recyclers and this does not bode well for India's shipping recycling sector or the shipping industry at large, especially as an anticipatedly busier 2025 lies ahead, Pakistan still looking to get back into the picture after an extensive period on the sidelines spanning over 4 months now, and both Pakistani and Bangladeshi ship recycling yards needing to get their HKC compliance (infrastructure and yard) upgrades to initiate within January, leaving India uniquely positioned to reclaim pole position and maintain it well into 2026. This is of course unless China amends it ongoing policy and opens up domestic ship recycling for international units once again, redistributing the flow of global recycling tonnage.

Sentiments beaten.

For now, however, amidst Indian fundamentals that have certainly seen the better part of south (on local steel plate prices), remain precariously positioned under the present circumstances as not only is the U.S. Dollar hammering the Indian Rupee, which saw it close the week out nearly 50 basis points weaker at INR 86.56, but local steel plate prices are the ones dancing with the fragility of Alang recycler mindsets as steel prices shook violently through the week, closing it out at about the same levels as those from last, albeit marginally higher and in line with international movements.

Dancing with fragility.

Yet, compared to its global ship recycling neighbors, India's economy remains one of the strongest and its primary concerns, unlike its competing ship recycling neighbors, remain the effects of global economies and not internal instabilities, which only cements its standing as the most dependable of ship recycling destinations. Furthermore, helping this market is India's upcoming budget scheduled on February 1st, where the government is expected to lower import taxes for certain sectors, and this could have a direct or even trickledown effect on the profitability of Alang's ship recycling yards ahead. Finally, given the fact that all ship recycling yards in Alang are already operating in line with the rules of the HKC and no real upgrades to local facilities are needed, India may inadvertently become the prime mover behind global ship recycling tonnage from Q3 2025.

For now, however, with the way things are going, Alang recyclers seem destined to face competitive struggles to have it all their own way in 2025, especially until the start of Chine New Year holiday and especially once Pakistani recyclers start fixing units once again.

NO MARKET SALES REPORTED

PAKISTAN

ACTION – MISSING!

More enquiries.

January has certainly not welcomed Gadani's ship recycling sector with the improvement in the domestic economy that anyone in the industry was anticipating thus far. The PKR lies in shambles, local steel plate prices in contrast, remain the highest in the industry, yet Pakistani offers on the bidding tables have been at the bottom of the sub-continent market rankings for over 4 months now, reflecting a similar situation at Gadani's waterfront as recyclers have failed to conclude / import even a single vessel into the nation during this time. And as stated, the economy that has led to the unfolding state of key fundamentals has been driving the flaccid state of interest from the Gadani Gang.

To start, local steel plate prices have not only reported a surprising improvement to the tune of nearly USD 7/Ton this week, but they also closed the week out at nearly USD 644/Ton. Yet, the PKR was ironically the only recycling nation currency to register an improvement of 35 basis points and close the week out at PKR 278.66 against the U.S. Dollar.

Chinese sales.

Yet, Pakistan's overall economic situation remains in the dumps as the government is still heavily in debt (with the IMF), is in the process of obtaining fresh loans to the tune of USD 20 Billion (pledged by the world Bank), have only recently obtained an extension on parked amounts (from UAE), and are still in the process of clarifying queries to the tune of about USD 440 Million that were seemingly misappropriated, it remains in a precarious situation for the nation at this time. All of the above has led to a collapsing of key fundamentals that has driven the domestic ship recycling sector to a grinding halt.

HKC upgrades needed.

Notwithstanding the above, Pakistani recyclers have been slowly (and agonizingly) trying to make a return to the bidding tables of late, with a seemingly greater volume of enquiries emerging even though very little has realized in terms of a confirmed deal that would back up recent spate of enquiries. Moreover, despite vessel offers having declined from Chattogram over the course of the week leaving Pakistan (and India) more competitive, it is the long term future Gadani recyclers need to focus on and urgently start upgrading their facilities to comply with the requirements of HKC, in order to stay relevant, or invite self-irrelevance at the international level altogether, given that the Convention officially enters into force by the middle of the year.

Meanwhile, there remains no news about the state of Pakistan's FY 2025 – 2026 budget and this could put a serious strain on the ability of the local recyclers to shore up the necessary funding in order to put in necessary infrastructure upgrades needed at this time. As such, Pakistan's ship recycling community certainly has an uphill challenge for themselves in 2025.

NO MARKET SALES REPORTED

TURKEY

JILTED!

Everything drops.

Just like Gadani, Aliaga seems to have been jilted by the global economies as this is the only market to consistently record single and dual fundamental collapses with each passing week, including this one where not only did both import and local stee plate prices report declines of about USD 10/MT, but the ever consistent Lira drop continues into the abyss of uncertainty, taking the entire market down with it as it wraps up the week at USD 35.45 against the U.S. Dollar.

Impressively, and surprisingly yet, local offerings have still not dipped below those stated in the market rankings, indicating that no tonnage has even been offered into the Aliaga thus far, where local pundits are able to establish where current prices really stand.

Mercifully for Aliaga recyclers, given that a majority of their recycling facilities are already operating in accordance with EUSRR requirements, the upcoming HKC implementation by the middle of the year should likely be nothing more than a resubmission of documents to confirm ongoing yard operations. Yet, with supply increasing in the sub-continent, vessel owners with units intended for Turkey are still looking at the price differential with the sub-continent on their upcoming units, especially now that larger LDT tonnage is starting to make the rounds at the bidding table.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 3 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	450 / LDT	470 / LDT	480 / LDT
2	India	**Stable**	445 / LDT	465 / LDT	475 / LDT
3	Pakistan	**Stable**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	310 / LDT	320 / LDT	330 / LDT

ODD ONES.

- *Americans discard roughly 36 million tons of plastic each year, which is more than any other country. But the plastic recycling rate has languished below 10 percent for decades.*
- *Rats are prodigious breeders, with one pair having the potential to produce 15,000 descendants in a year.*
- *Nearly half of Australia's birds and 90 percent of its mammals, reptiles and frogs are found nowhere else on the planet.*
- *Only 15 percent of previously married women say they want to do it again, according to a Pew Center for Research study. That's half the portion of men who want to remarry.*
- *A study from Goldman Sachs estimates that, by 2028, up to 70 million Americans will have tried Ozempic or similar drugs for weight loss.*
- *Pew Research Center has found that about one-third of 18- to 29-year-olds say they get news regularly on TikTok, far outpacing other age groups.*
- *About 60 percent of young Americans with severe depression receive no treatment, according to Mental Health America, a nonprofit research group.*
- *In the United States, more than 60 percent of the work force lives paycheck to paycheck. The average American is in five- to six-figure debt and often has only cursory knowledge of how they got there.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
January 26 – Republic Day February 02 & 03 – Vasant Panchami February 26 – Maha Shivratri	January 28 – February 04 February 10 – February 16

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
February 15 – Shab-e-Barat February 21 – Shahid Day February 26 – Independence & National Day	January 30 – February 02 February 14 – February 17

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 28 – February 04 – Chinese New Year / Spring Festival Holiday	February 05 – Kashmir Solidarity Day	**No holidays until March**

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ALANG - Port Position as of January 19, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Enzo*	*17,398*	*Oil Tanker*	*Delivered January 12*
2	*Karam 14*	*3,169*	*Bulk Carrier*	*Delivered January 17*
3	*Lady Cedros*	*17,823*	*Bulk Carrier*	*Delivered January 15*
4	*Rialto*	*9,695*	*Oil Tanker*	*Delivered January 19*
Total Tonnage		**48,085**		

CHATTOGRAM - Port Position as of January 17, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ark Progress (Dead Vessel)	2,635	Tanker	Arrived January 04
2	*Jim*	*14,894*	*Bulk Carrier*	*Delivered January 16*
3	*Lar*	*29,202*	*LNG Tanker*	*Delivered January 15*
4	*Ulsan Gas*	*1,814*	*LPG Tanker*	*Delivered January 12*
		48,545		

GADANI - Port Position as of January 17, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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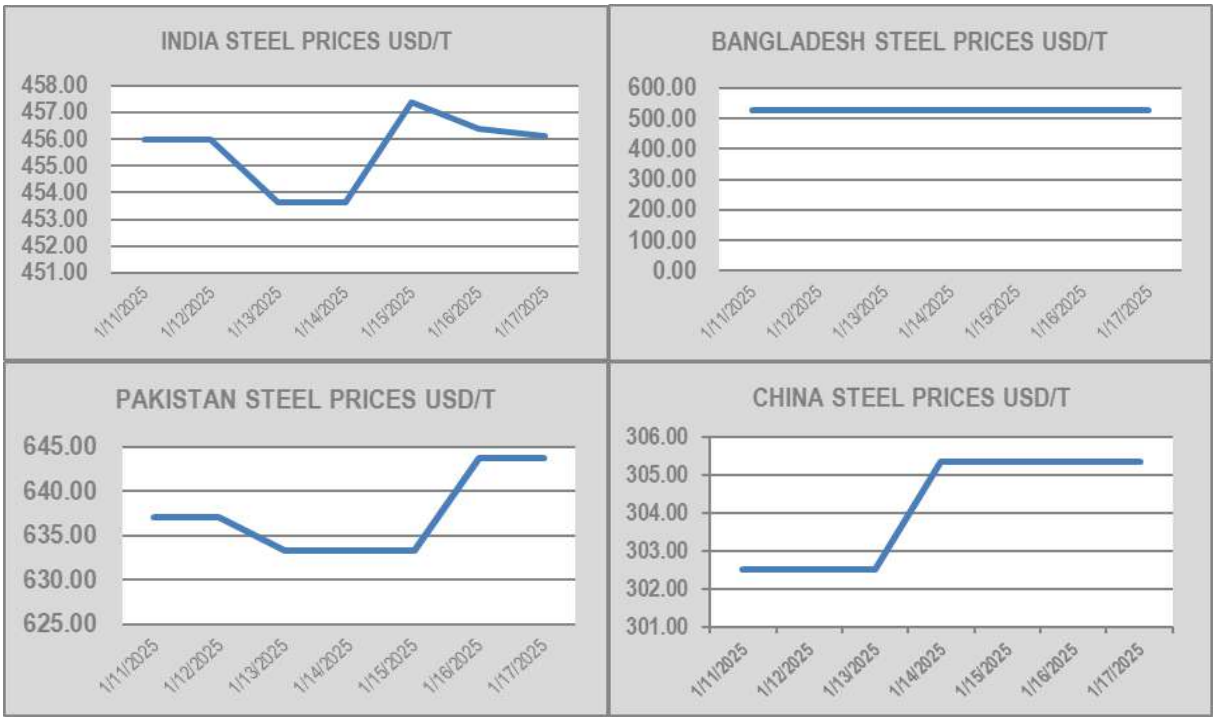
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/11/2025	455.97	39,200.00	637.08	178,000.00	529.41	63,000.00	302.54
1/12/2025	455.97	39,200.00	637.08	178,000.00	529.41	63,000.00	302.54
1/13/2025	453.65	39,300.00	633.27	177,000.00	529.41	63,000.00	302.54
1/14/2025	453.65	39,300.00	633.27	177,000.00	529.41	63,000.00	305.38
1/15/2025	457.39	39,500.00	633.27	177,000.00	529.41	63,000.00	305.38
1/16/2025	456.38	39,500.00	643.78	180,000.00	529.41	63,000.00	305.38
1/17/2025	456.12	39,500.00	643.78	180,000.00	529.41	63,000.00	305.38



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